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Aluminum Corp. of China Ltd. | Asia Pacific

Baotou Plant Visit and Management Meeting

Key Takeaways

- Baotou plant has 1.46mnt aluminum capacity with 62.5% of the power is captive, made up of solar 200MW, wind 1900MW and 1720MW coal, with 4 hours of ESS.
- Average power cost is below Rmb0.40/kWh, with renewable power cost at Rmb0.17/kWh.
- 45mnt remain a hard capacity cap. Company expects NDRC Document No. 45, effective August 1, to help control overproduction.
- Enforcement could include retrospective checks comparing power consumption, approved capacity against actual output.
- New Document No. 837 on overseas investment was effective July 1. The review process is more granular and may impact aluminum investment overseas.

The overproduction controls examine: Electricity consumption per tonne of aluminium produced; potline operating parameters and current efficiency; environmental compliance; the proportion and source of renewable power; and maintenance records and actual operating days. This retrospective traceability framework should make it more difficult for producers to conceal sustained production above approved capacity, according to management.

The overseas investment control will review:

- Who is investing: including ultimate ownership and look-through analysis of the investor;
- What is being acquired or developed;
- Where the investment is located: with country and geopolitical risk taken into account;
- How the investment is structured and financed;
- Whether key technology is being exported: sensitive technologies may require approval.

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Aluminum Corp. of China Ltd. (2600.HK, 2600 HK)

Greater China Materials | China

Stock Rating	Overweight	
Industry View	Attractive	
Price target	HK\$11.20	
Up/downside to price target (%)	30	
Shr price, close (Jul 23, 2026)	HK\$8.63	
Mkt cap, curr (mn)	Rmb158,628	
EV, curr (mn)	Rmb223,232	
Avg daily trading value (mn)	HK\$616	

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.74	1.27	0.73	0.91
EPS (Rmb)§	0.84	1.26	1.15	1.19
Revenue, net (Rmb bn)	241.1	254.1	225.3	227.0
EBITDA (Rmb bn)	41.1	62.4	40.3	47.5
ModelWare net inc (Rmb bn)	12.7	21.8	12.5	15.6
P/E	14.8	5.9	10.2	8.2
P/BV	2.5	1.4	1.3	1.2
RNOA (%)	16.6	27.6	14.7	18.1
ROE (%)	18.3	29.0	14.1	16.1
EV/EBITDA	6.5	3.5	5.2	4.3
Div yld (%)	2.4	6.2	3.6	4.5
FCF yld ratio (%)	8.9	11.3	8.9	8.3
Leverage (EOP) (%)	39.1	8.6	(9.6)	(24.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Aluminum Corp. of China Ltd. (2600.HK)

Base case, residual income model. Key assumptions: A cost of equity of 12.1% (as calculated from a 1.3 beta, 2.3% risk-free rate and 7.5% equity risk premium), a steady-state growth rate of 2% and long-term ROE of 11.0%.

Risks to Upside

- Demand is better than we expect.
- Supply cut is greater than we expect.

Risks to Downside

- Faster-than-expected production resumption.
- Faster commencement of new swapped capacity.
- Weaker-than-expected demand.

Aluminum Corp. of China Ltd. (601600.SS)

We derive our A-share price target by applying a 10% premium to our H-share price target, and adjusting for our estimated CNYHKD exchange rate of 1.14.

Risks to Upside

- Demand is better than we expect.
- Supply cut is greater than we expect.

Risks to Downside

- Faster-than-expected production resumption.
- Faster commencement of new swapped capacities.
- Weaker-than-expected demand.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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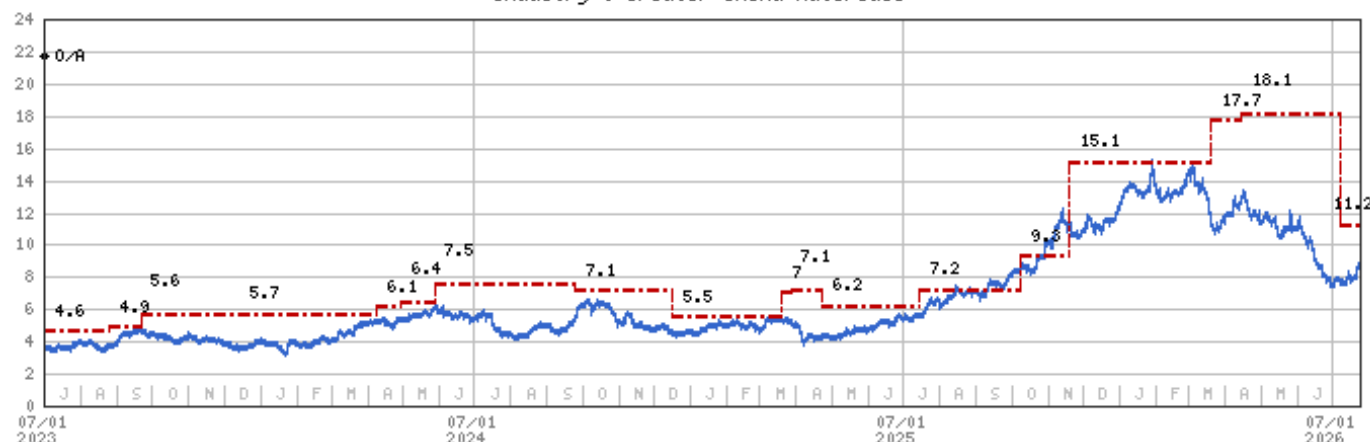
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Stock Price, Price Target and Rating History (See Rating Definitions)

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Industry : Greater China Materials



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Aluminum Corp. of China Ltd. (601600.SS) - As of 07/24/26 GMT in CNY
Industry : Greater China Materials



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INDUSTRY COVERAGE: Greater China Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/23/2026)
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Chris Jiang

Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb20.33
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.53
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb30.42
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb6.66
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb185.11
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb50.74
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb45.88
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb41.55

Hannah Yang, CFA

China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$23.94
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$17.12
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$6.67
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb9.77
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$8.74
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.98
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb26.26
Tianshan Aluminum (002532.SZ)	E (07/08/2026)	Rmb13.22
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$9.33
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb40.55

Rachel L Zhang

Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb9.78
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$8.63
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.97
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb19.51
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb11.47
China Jushi (600176.SS)	O (12/22/2020)	Rmb38.36
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$4.06
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$19.10
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$17.61
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb20.03
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb41.13
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$26.94
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.19
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb51.19
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$40.50
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb60.14
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb21.10
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$36.18
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb45.06
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$17.14
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb25.90
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$7.86
Shandong Gold Mining Co. Ltd (600547.SS)	E (07/09/2026)	Rmb27.42
Shandong Gold Mining Co. Ltd (1787.HK)	E (07/09/2026)	HK\$20.04
Shandong Nanshan Aluminium Co. (600219.SS)	E (07/08/2026)	Rmb4.79
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$34.42
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb46.38
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb8.12
Zhaojin Mining Industry (1818.HK)	E (07/09/2026)	HK\$20.82
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$119.50
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$33.52
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb33.06

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* Historical prices are not split adjusted.

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